A Simple Market-Based Financial Conditions Index

Weights from policy news, dynamics from a transparent VAR, measured relative to r^*

Draft for discussion

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Abstract

We propose a financial conditions index built entirely from observed data. Its weights on the 10-year Treasury yield, equity valuations and the dollar come from how these variables respond to monetary policy news in narrow windows around FOMC announcements; its dynamics come from a two-variable VAR with unemployment. The index has a level, measuring where conditions stand in units of the 2-year Treasury yield, and a flow, the implied effect on activity over the next year, which parallels the Federal Reserve Board's FCI-G. We build the index in three steps (nominal rates, real rates, and rates measured relative to r^*, our baseline) and compare it at each step, like for like, with existing approaches: the macro-model-based FCI-G and a levels version we build from FRB/US, and the Goldman Sachs index followed by practitioners. Measured on a common basis, the simple index tracks the others closely, and is closest to Goldman Sachs. Its flow correlates 0.84 with FCI-G. Measuring rates relative to r^* matters over long spans. Yet the approaches still differ enough, at times by more than a percentage point of policy rate, to create real uncertainty for policy: no one measure is likely best.

1 Introduction

Financial conditions are central to how monetary policy is discussed. The FOMC's minutes describe policy as working through financial conditions and report how "financial conditions indexes" have moved; the Chair has noted that "there are many different financial conditions indicators, and you can kind of ... see different answers." Practitioners follow the Goldman Sachs index (GS) on Bloomberg; the Board's staff publishes the Financial Conditions Impulse on Growth (FCI-G, Ajello et al. 2023); the Chicago Fed publishes the NFCI and its adjusted version (ANFCI). These indexes are built in very different ways, in different units, and they often disagree.

This note proposes a simple, transparent alternative and uses it as a benchmark. Its main features are its benefits:

- **Data-driven weights.** The weights on the 10-year Treasury yield, equity valuations and the dollar come from how markets actually respond to monetary policy news, measured in narrow windows around FOMC announcements. A one-unit move in the index is the change in conditions that a policy move raising the 2-year yield by 1 percentage point would produce.
- **Transparent dynamics.** How the index affects activity over time comes from a two-variable VAR with the unemployment gap, not from the lag structure of a large structural model.
- **Independence from FRB/US.** FCI-G's weights, and those of the macro-model index we build for comparison, come from FRB/US, a model that is a black box to most readers and is not widely used in research. The market index can be replicated from public data in a few short scripts (we provide them).

The cost is coverage: the index uses three variables, not the seven of FCI-G or the five of GS. We find the cost worth paying.

Like FCI-G, the index comes as a level and a flow. The level says where conditions stand; the flow ("forward impetus") says what the past year's changes imply for activity over the next year, in the same form as FCI-G. FCI-G itself has no level, and GS is built from nominal rates with proprietary weights; both limitations matter for comparisons over long spans.

We build every index in three steps. Nominal rates are adequate only when inflation and inflation expectations are low and stable and the neutral real rate is constant; neither held over 1973–2026. We therefore move to real rates (matched-horizon expected inflation) and then to gaps to r^* (the one-sided Laubach and Williams 2003 estimate), which is our baseline. At each step we compare like with like: our nominal index with the existing nominal ones, our real index with real versions of the others, and our r^* index with r^* versions of the others. Two notions of neutral are at work in this literature. FCI-G is neutral for growth at zero. Caballero et al. (2026) propose FCI*, the level of financial conditions consistent with output at potential, estimated in a Laubach–Williams-type model on FCI-G (1990–2024). The market index's flow is of the first kind; measuring its rates against r^* moves its level toward the second, though we do not estimate a neutral level for the index itself.

Three findings stand out. First, on a common basis the simple index tracks the others closely and is closest to GS: in the r^* baseline its correlation with GS is 0.99 and with our FRB/US index 0.94; its flow correlates 0.84 with FCI-G. Second, measuring rates relative to r^* matters over long spans: it changes the picture after 2008 and brings the indexes closer together. Third, the indexes still differ, by about 1.08 percentage points on average and by more than 2 in some episodes, mostly because of how they weight equity valuations and the dollar. That disagreement is a source of uncertainty for policy; no single measure is likely best.

2 Existing indexes

- **FCI-G** (Ajello et al., 2023) measures the contribution of financial conditions to GDP growth over the next year, in percentage points of growth, from changes in seven variables (federal funds rate, 10-year yield, mortgage rate, BBB yield, stock prices, house prices, dollar) with multipliers from FRB/US and other Board models. It is a growth index: zero is neutral for growth, meaning that the cumulative effect of current and past changes in the variables adds nothing to and takes nothing from growth over the next year. That is a different notion of neutral from a long-run neutral level of financial conditions (see below), and it is why FCI-G is built from changes and carries no level.
- **GS** (Dudley and Hatzius, 2000; Hatzius et al., 2010; Hatzius and Stehn, 2018; Hatzius, 2019) is a levels index with published weights (federal funds rate 4.4%, 10-year 45.1%, BBB spread 39.6%, equities 4.9%, dollar 6.0%), determined with FRB/US and Goldman Sachs modeling. It uses nominal rates and the nominal dollar, so it trends down over long spans (Hatzius et al., 2010), and the index itself is proprietary; we use a public replication. Goldman also translates changes in the index into an impulse to GDP growth (Hatzius, 2019), so the level and the growth reading coexist.
- **NFCI and ANFCI** (Brave and Butters, 2011) are factor-model summaries of 105 indicators, mostly spreads, volatilities and credit quantities, in standard-deviation units; the ANFCI removes the part explained by economic activity and inflation.

We convert GS and the NFCI/ANFCI into the market index's units with their own responses to

the same policy news (GS rises 1.04 points per unit of policy news; the NFCI 0.097 and the ANFCI 0.185 standard deviations). FCI-G is in growth units and is compared through correlations and through its own claimed scale.

Two ways to classify indexes. Hatzius et al. (2010) sort indexes by construction and by reading. By construction, weighted-sum indexes take weights from estimated effects on GDP (model simulations, VARs or reduced-form equations: GS, the Macroeconomic Advisers index, the OECD index), while principal-components indexes extract a common factor (NFCI, Kansas City). By reading, some indexes summarize the effect of conditions on growth, with zero neutral for growth (the Deutsche Bank index, Macroeconomic Advisers, and now FCI-G), and others measure whether conditions have tightened or loosened relative to a base period or sample average (Bloomberg, GS, NFCI). The market index sits in the weighted-sum family, with weights from policy-news responses. It offers both readings: its level says where conditions stand against the sample average or, in the r^* case, against r^*; its flow, the forward impetus, is neutral for activity when zero, as FCI-G is for growth. Hatzius et al. (2010) also argue that an index should capture exogenous financial shocks rather than feedback from activity, and purge each indicator of current and lagged GDP growth and inflation. Putting the unemployment gap first in our VAR serves the same purpose for the index's dynamics: the index's innovations are orthogonal to current and past unemployment.

3 The market index

3.1 Weights from the response to policy news

Policy news. At each FOMC announcement we measure policy news with the Nakamura and Steinsson (2018) factor: the first principal component of the intraday moves in five short-term interest-rate futures (current- and next-meeting federal funds futures and the second to fourth eurodollar futures), scaled so that one unit moves the 2-year Treasury yield by 1 percentage point. The data are the San Francisco Fed's U.S. Monetary Policy Event-Study Database (Acosta et al., 2025), "monetary events" window (from 10 minutes before the statement to 60 minutes after the start of the press conference, or the statement window when there is none): 253 announcements from January 1996 to September 2026.

Responses and weights. We treat each variable's window move as its policy response ψ_j times the news plus a non-policy disturbance with covariance Σ, and choose the weights that recover the policy component most precisely: $w \propto \Sigma^{-1}\psi$, normalized so that $w'\psi = 1$ (one-factor generalized least squares). A policy move that raises the 2-year yield by 1 point therefore raises the index by exactly 1. Table 1 reports the responses and weights. All three variables matter; equities account for the largest share of a policy move (0.40), then the 10-year (0.33) and the dollar (0.28). Applied to the demeaned levels of the 10-year yield, the equity valuation multiple (100 times the log of the cyclically adjusted price-earnings ratio, CAPE) and the real broad dollar, the weights give the index.

Table 1: Market index: responses to policy news and weights

	Response to policy news	Weight	Share of a policy move
10-year Treasury yield (pp)	+0.53 (0.06)	+0.609	0.33
Equity valuation, 100 ln CAPE (percent)	-7.78 (0.93)	-0.051	0.40
Real broad dollar, 100 ln (percent)	+4.22 (0.53)	+0.065	0.28

Responses: change in the announcement window per unit of policy news (moves the 2-year yield by 1 pp), standard errors in parentheses. Weights: one-factor GLS, normalized so that $w'\psi = 1$. Share: $w_j\psi_j$.

What the weights mean. If every movement in the three variables came from policy, the index would equal the cumulated policy-induced change in the 2-year yield. Movements not caused by policy enter with the same weights: the index treats them as if they were policy-equivalent. Section 5 discusses the alternative, model-based view.

3.2 Dynamics from a transparent VAR: the flow

The VAR. We estimate a monthly VAR in the unemployment gap (the unemployment rate less CBO's natural rate) and the market index, January 1973 to September 2026, with 12 lags and monthly dummies for 2020; unemployment is ordered first, so it responds to the index only with a lag. Table 2 and Figure 1 report the results. The index helps predict unemployment at every step of the construction (in the r^* baseline, Granger $F = 5.30$, $p < 0.0001$). A one-unit tightening raises the unemployment gap gradually; the response is significant from month 1 to month 33 (bootstrap 95% bands) and reaches 0.65 percentage points at 12 months, about 1.3 percent of output by Okun's law. We call this 12-month response the index's yardstick, $\Phi(12)$. With 4 lags the response builds faster and levels off lower (0.40); we keep 12 lags because the 12-lag yardstick matches what the index predicts in direct regressions (Section 7) and its timing resembles FCI-G's.

Table 2: VAR of the unemployment gap and the market index, 1973–2026

	Lags	Granger F	p-value	Phi(6)	Phi(12)	Phi(24)
Nominal	12	3.74	<0.0001	0.29	0.57	0.66
Nominal	4	4.62	0.0010	0.21	0.27	0.27
Real	12	3.67	<0.0001	0.34	0.61	0.68
Real	4	5.54	0.0002	0.26	0.32	0.32
r* (baseline)	12	5.30	<0.0001	0.40	0.65	0.64
r* (baseline)	4	9.98	<0.0001	0.32	0.40	0.38
r* (Kiley)	12	4.63	<0.0001	0.37	0.61	0.63
r* (Kiley)	4	7.76	<0.0001	0.29	0.36	0.34

$\Phi(h)$: unemployment-gap response h months after a shock that moves the market index by 1 on impact (Cholesky, unemployment first). Granger: test that the index's lags do not enter the unemployment equation. 2020 months treated with dummies.

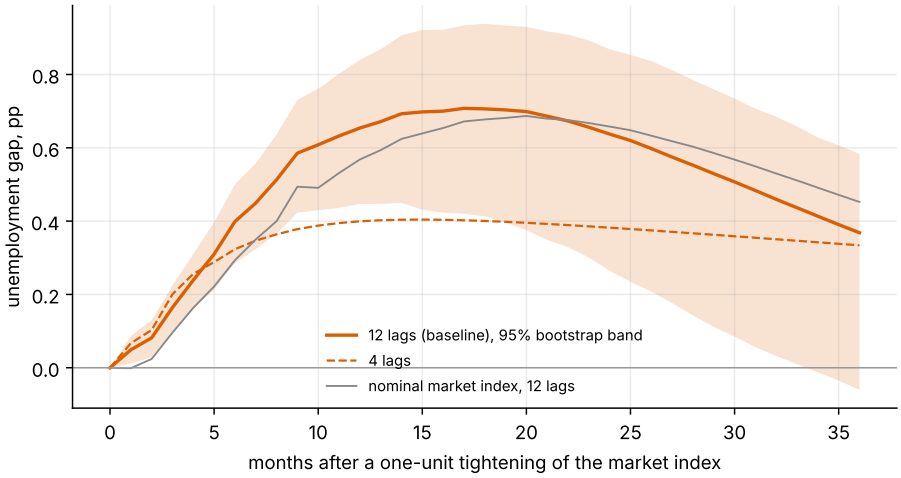


Figure 1: Unemployment-gap response to a one-unit tightening of the market index (r^* baseline)

Forward impetus. With the VAR's response profile $\Phi(m)$ we compute, as FCI-G does with FRB/US multipliers, the effect over the next 12 months of the index changes of the past year:

$$\mathrm{FI}(t) = \sum_{m=0}^{11} \frac{\Phi(m+12) - \Phi(m)}{\Phi(12)} \, \Delta M(t-m),$$

in index units: a value of 1 means the past year's changes will raise unemployment over the next year by as much as a permanent one-unit tightening does in its first year. Figure 2 shows the level and the flow in the baseline. The flow correlates 0.83 with the r^* version of FCI-G; the level correlates only 0.30 with FCI-G, because the two answer different questions.

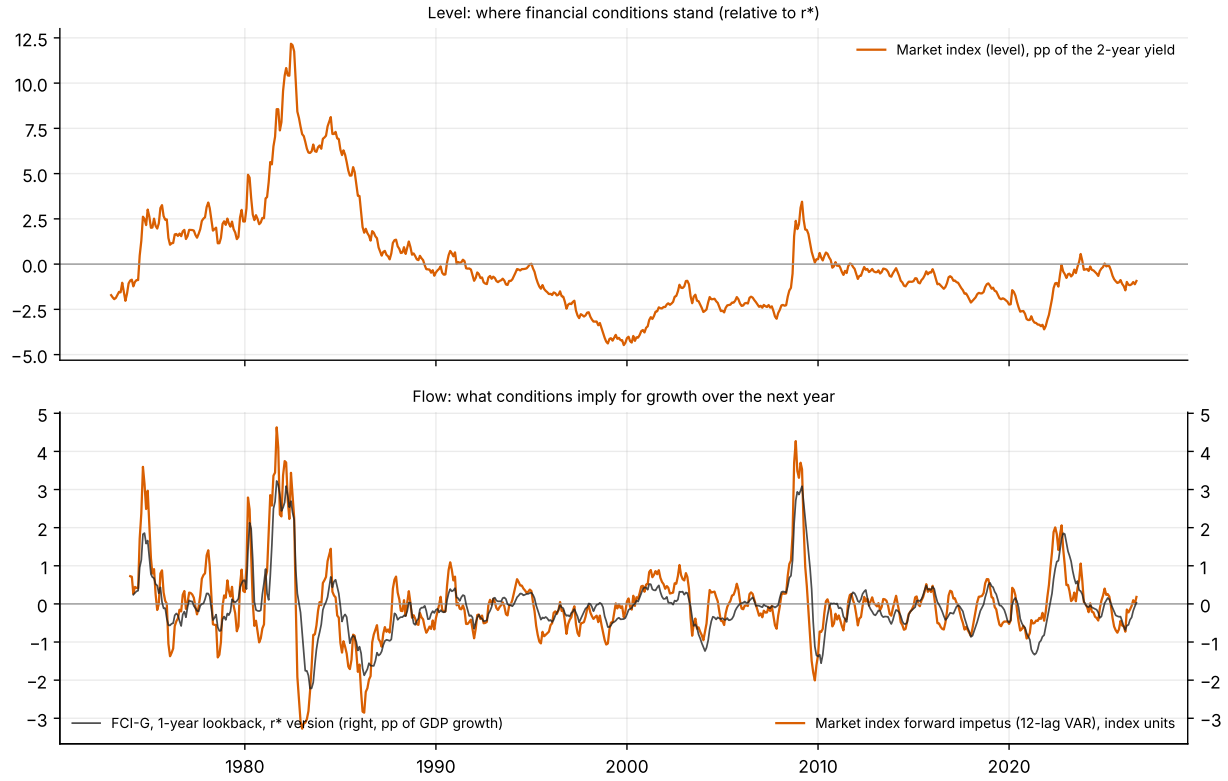


Figure 2: The market index: level and flow (r^* baseline), with FCI-G for reference

4 From nominal to real to r^*

Why nominal is not enough. A nominal index treats a 10-year yield of 8 percent the same in 1981 and in 2000. That is reasonable only if inflation expectations and the neutral real rate are stable. Neither held: expected inflation over the next year averaged 8.43 percent in 1981 and is 2.66 percent today, and the Laubach–Williams r^* averaged 2.76 percent over 1990–2007 and 0.86 percent over 2009–2016 (Figure 3). The link between financial conditions and the neutral rate is not new: Dudley (2010) argued that when higher productivity growth or stock prices ease conditions, the equilibrium real funds rate rises, so a higher funds rate is needed to offset them. GS has a further problem over long spans: its nominal dollar index rises from 31 in 1973 to 119 today, mostly from inflation differentials, which drags the index far from the others before 1990 (Figure 5, top panel).

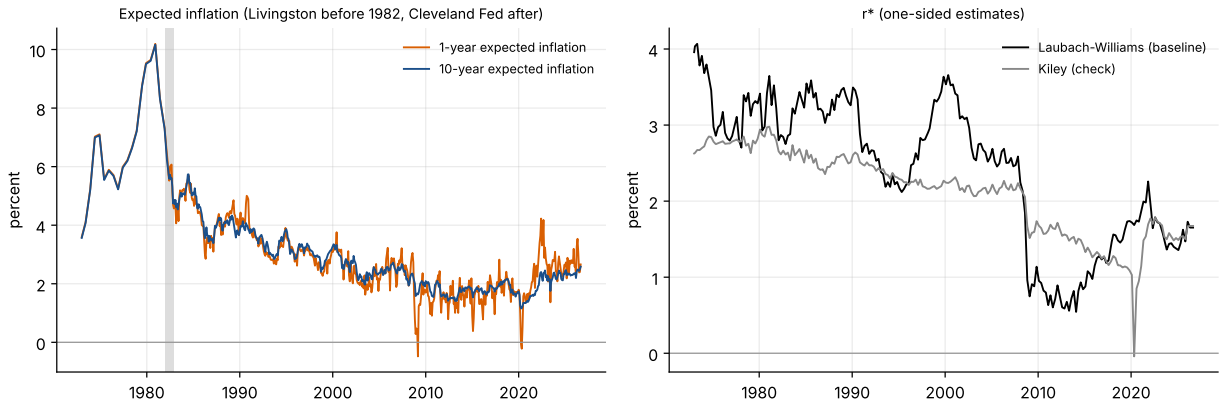


Figure 3: Expected inflation and r^*

Real. Each rate is measured less expected inflation at a matched horizon: the policy rate less 1-year expectations, longer rates less 10-year expectations. Expectations are the Cleveland Fed model estimates (Haubrich et al., 2012) from 1982 and the Livingston Survey before, shifted to the Cleveland level over 1982–84 and blended over 1982. The dollar is the real broad index; in FCI-G, stock and house prices are deflated by the CPI.

Gaps to r^* (baseline). Each real rate is then measured relative to r^*: the policy rate, the 10-year yield, and in FCI-G the BBB and mortgage yields. Equities enter through the earnings yield $E/P = 100/\text{CAPE}$, also an implicit real rate, as the gap $E/P - r^*$; we convert each index's equity weight at the sample-average earnings yield (one point of E/P is about 18 log points of CAPE), so that every index keeps its weights. Spreads over the 10-year are unchanged, since r^* cancels. The baseline uses the one-sided, full-sample Laubach–Williams estimate; Kiley (2020b)'s estimate is a check. Every variable is measured relative to its 1973–2026 average, so r^* matters through its movements over time.

What each step changes. Figure 4 shows the market index at each step. Over 1990–2026 the switch to real rates changes little (correlation of the nominal and real versions 0.98), but the switch to r^* changes a lot (real versus r^*: 0.57): with r^* low after 2008, conditions in 2009–2016 look tight rather than easy (average 1.16 against -0.30 in the real version, with 1990–2026 as zero). Before 1990 the real step matters: nominal FCI-G shows a tightening in mid-1974 (0.60) that the real version does not (about zero), because nominal rates rose with expected inflation. At each step the indexes agree more: the average range across the four level indexes over 1990–2026 falls from 1.15 (nominal) to 0.97 (real) and 0.88 (r^*).

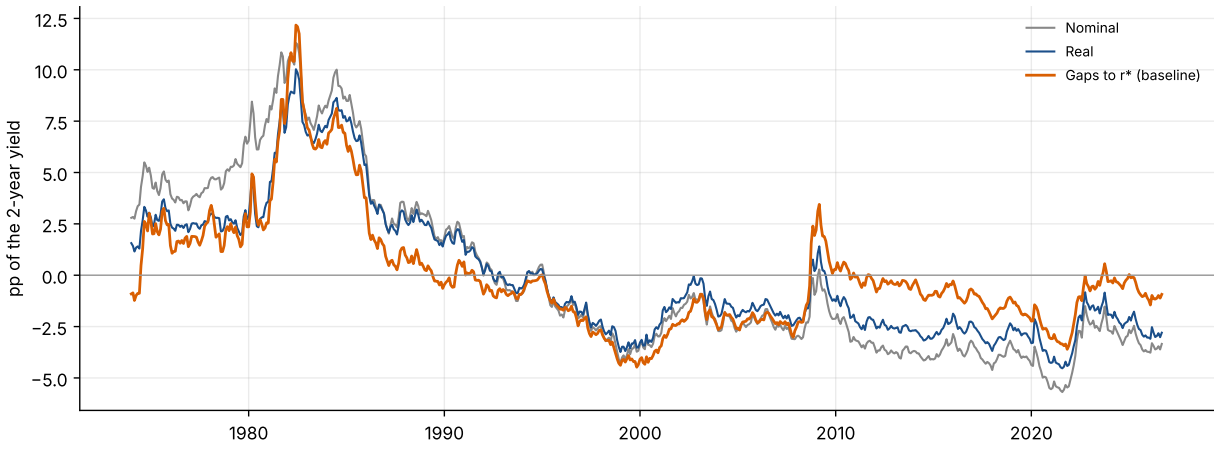


Figure 4: The market index at each step of the construction

5 A macro-model comparison index

The main alternative to market-based weights is to weight each variable by its effect on activity in a macroeconomic model, as FCI-G does. For a like-for-like comparison of levels we build such an index from FRB/US: each variable's weight is its effect on GDP after four quarters, divided by the effect of a persistent 1 percentage point rise in the federal funds rate (0.4525 percent of GDP), so the index is in funds-rate percentage points. It covers the policy rate, the 10-year yield, the mortgage and BBB spreads, equities, the dollar and (in one version) house prices; it is also given a flow, in FCI-G's form.

Table 3 compares the two sets of weights on the three common variables. They agree on the 10-year yield (ratio 0.94) but the model gives equities less weight (0.62) and the dollar more (1.54). On a pure policy move the two indexes agree by construction: the FRB/US weights price the observed announcement-window response of the three variables at 0.97 funds-rate points. They differ only through movements not caused by policy: the model treats a non-policy fall in equity prices as having its estimated causal effect on output, the market index as policy-equivalent. Since the two weight vectors are not proportional, the gap between the indexes is a weighted sum of non-policy movements in equities and the dollar.

Table 3: FRB/US and market weights on the common variables

	FRB/US weight	Market weight	FRB/US response	Market response
10-year yield	+0.569	+0.609	+0.370	+0.535
Equities (CAPE)	-0.032	-0.051	-13.178	-7.779
Real dollar	+0.100	+0.065	+1.618	+4.224

FRB/US weight (funds-rate pp per unit): effect on GDP at four quarters of a persistent unit shift, divided by the effect of a persistent 1 pp funds-rate hike. FRB/US response: after four quarters of the hike (VAR expectations). Market weight (2-year-yield pp per unit) and response to policy news: Table 1. Units: pp for the 10-year yield, percent for equities and the dollar.

6 Comparison with existing indexes, like for like

Table 4 compares the market index with the others at each step; Figure 5 plots the level indexes.

Table 4: The market index and the other indexes at each step, 1974–2026

	Nominal	Real	r* (baseline)
Market vs GS, levels	0.76	0.99	0.99
Market vs FRB/US, levels	0.98	0.95	0.94
Market vs FRB/US with house prices, levels	0.98	0.95	0.94
Market vs ANFCI, levels (1990-)	0.17	0.22	0.22
Market vs GS, 12-month changes	0.95	0.96	0.98
Market vs FRB/US, 12-month changes	0.95	0.95	0.96
Forward impetus vs FCI-G (1-year)	0.80	0.85	0.84
Forward impetus vs FRB/US growth impetus	0.89	0.88	0.84
FCI-G vs FRB/US growth impetus	0.91	0.96	0.98
FCI-G vs market index level	0.27	0.27	0.30
Range of level indexes, 1974-2026	2.82	1.16	1.08
Range of level indexes, 1990-2026	1.15	0.97	0.88
Market index, latest	-3.34	-2.80	-0.93
GS, latest	-1.36	-2.89	-1.23
FRB/US, latest	-1.55	-1.04	0.27
Forward impetus, latest	0.27	0.12	0.18
FCI-G (1-year), latest	-0.31	-0.11	0.03
Forward impetus vs published FCI-G (1990-)	0.77		
FCI-G replication vs published (1990-)	0.98		

Correlations of monthly levels (or 12-month changes) and the average cross-index range of the four level indexes (market, GS, FRB/US with and without house prices; pp). ANFCI from 1990. Latest: September 2026, relative to the 1973–2026 average (market and GS in 2-year-yield units, FRB/US in funds-rate units, FCI-G in pp of GDP growth). Real and r^* versions of GS and FCI-G are our replications with real rates or gaps to r^*.

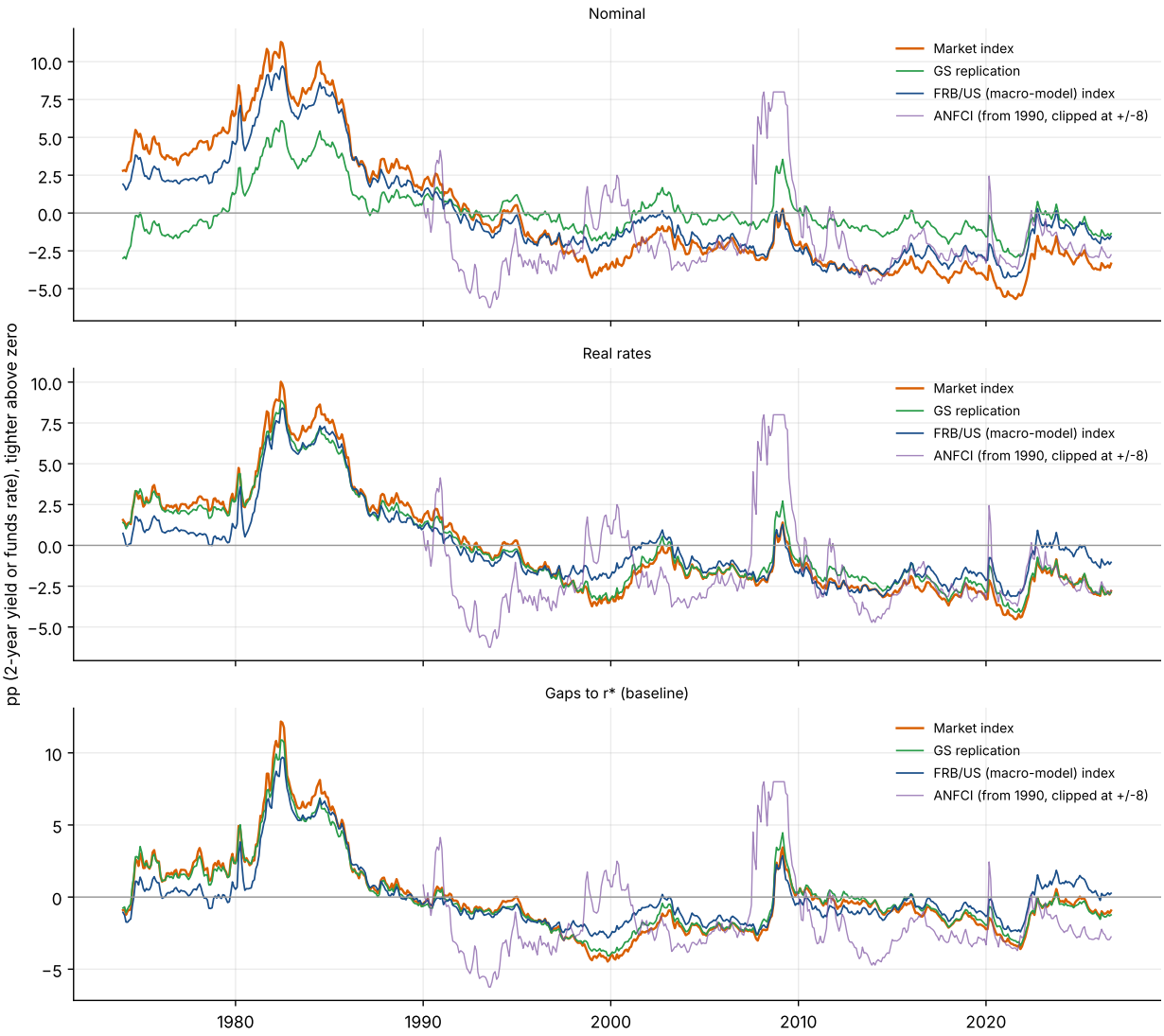


Figure 5: Level indexes at each step of the construction

The market index is closest to GS. With real rates or gaps to r^*, the market index and GS correlate 0.99 in levels; the market index and the FRB/US index 0.94. In nominal terms the correlation with GS is only 0.76, entirely because of GS's nominal dollar. The ANFCI, which measures stress rather than the price of credit and risk, is the outlier (correlation about 0.2) and dominates in crises.

The flows agree. The market index's forward impetus correlates 0.77 with the published FCI-G (1990–2026) and 0.84 with the r^* version of our FCI-G replication; the replication itself tracks the published series at 0.98.

But the differences are large enough to matter. Even in the baseline the four level indexes are on average 1.08 points apart. Table 5 lists the widest and closest six-month windows. The widest are in 1977–1982, when the market index was 2 to 3 points tighter than the FRB/US index, mostly because the market index puts more weight on the low equity valuations of the time; the closest are between the late 1980s and the mid-1990s. Today the market index (-0.93) and GS (-1.23) say conditions are somewhat easy relative to r^*; the FRB/US index (0.27) says they are

about neutral. The gap again reflects equity valuations and the dollar. Differences of this size, around a percentage point of policy rate, are a source of uncertainty for policy.

Table 5: Widest and closest six-month windows, r^* baseline

	Window	Range	Market	GS	FRB/US	FRB/US+HP	Gap: rates	equities	dollar	house prices
Widest	1977-12 to 1978-05	+2.56	+2.75	+2.28	+0.49	+0.19	+0.34	+1.59	+0.33	+0.30
Widest	1978-11 to 1979-04	+2.74	+2.26	+1.91	-0.00	-0.47	+0.27	+1.58	+0.42	+0.47
Widest	1979-10 to 1980-03	+2.52	+3.05	+2.84	+1.05	+0.53	-0.03	+1.74	+0.29	+0.51
Widest	1980-05 to 1980-10	+2.37	+2.70	+2.83	+0.95	+0.49	-0.35	+1.76	+0.34	+0.46
Widest	1982-02 to 1982-07	+2.39	+11.06	+10.03	+8.84	+8.67	-0.43	+2.87	-0.22	+0.17
Closest	1986-11 to 1987-04	+0.25	+0.95	+0.94	+1.14	+1.15	-0.13	+0.09	-0.16	-0.00
Closest	1989-04 to 1989-09	+0.31	-0.07	-0.28	+0.00	-0.09	+0.04	-0.22	+0.11	+0.09
Closest	1989-10 to 1990-03	+0.21	-0.42	-0.57	-0.37	-0.41	+0.06	-0.27	+0.16	+0.05
Closest	1992-11 to 1993-04	+0.32	-0.81	-0.91	-1.02	-0.71	+0.19	-0.27	+0.29	-0.32
Closest	1995-09 to 1996-02	+0.30	-1.57	-1.61	-1.70	-1.40	+0.22	-0.48	+0.39	-0.30

Windows ranked by the average range across the four level indexes. Gap: market index minus FRB/US index with house prices, by group of variables.

7 What the data can tell us about activity

Box: the indexes and unemployment a year ahead.

Policy news identifies how financial variables respond to policy; it does not identify how activity responds (in post-1994 monthly data, unemployment does not rise after hawkish surprises, a reflection of information effects and weak instruments). We therefore ask a more modest question: what do the indexes say about unemployment a year ahead? We regress the unemployment gap 12 months ahead on its current value and the current reading of each index, 1976–2026 (2020 excluded), and make recursive out-of-sample forecasts from 1995 (Table 6).

- **Flows, not levels.** The flows (forward impetus, FCI-G, the FRB/US growth impetus) carry information about unemployment a year ahead (gain in adjusted R^2 of 0.11 for forward impetus, 0.14 for FCI-G); levels add almost none (0.01).
- **Consistent scales.** Forward impetus has a coefficient of 0.50, against its VAR yardstick of 0.65; FCI-G claims that a reading of +1 raises unemployment by about 0.5 point (Okun's law), and over 1974–2026 its estimated effect at 12 months is 0.47 (s.e. 0.09) for the r^* version. For the published FCI-G over 1990–2026, however, it is only 0.13 (s.e. 0.14; Figure 6).
- **Modest forecasting gains.** Out of sample the best flows reduce the forecast error by about 10 percent (ratio 0.89 for forward impetus, 0.87 for FCI-G), but no gain is statistically significant (best Diebold–Mariano $t = -1.12$); gains come from before 2020 and reverse in 2021–2025, when the 2022–23 tightening was not followed by higher unemployment.
- r^* **helps.** The r^* versions predict better than the real versions in every family (Appendix Table 8).

Table 6: Unemployment gap 12 months ahead on the current index reading, r^* versions, 1976–2026

	Coef. (s.e.)	Gain adj. R2	OOS ratio	1995-07	2008-19	2021-25	DM t
Market index forward impetus	0.50 (0.09)	0.11	0.89	0.89	0.86	1.14	-1.12
FCI-G, 1-year lookback	0.70 (0.10)	0.14	0.87	0.87	0.85	1.09	-1.05
FCI-G, 3-year lookback	0.61 (0.11)	0.14	0.90	0.94	0.86	1.15	-0.90
FRB/US growth impetus	0.30 (0.05)	0.12	0.93	0.94	0.91	1.09	-0.62
Market index (level)	0.07 (0.05)	0.01	1.06	0.94	1.12	0.89	1.00
Market index current pressure	-0.00 (0.05)	-0.00	1.05	0.98	1.07	1.03	1.38
GS (level)	0.09 (0.06)	0.02	1.05	0.90	1.11	0.86	0.82
FRB/US index (level)	0.07 (0.06)	0.01	1.05	0.90	1.11	0.93	0.97

Local projection $u_{t+12} = a + b\,u_t + c\,x_t$; coefficient c (HAC s.e.); gain in adjusted R^2 over u_t alone. Out of sample: recursive estimates, forecast origins 1995–2025, ratio of root mean squared errors to the projection on u_t alone (below 1: the index helps), also by subperiod; DM: Diebold–Mariano t (negative: index better). Months touching 2020–March 2021 excluded.

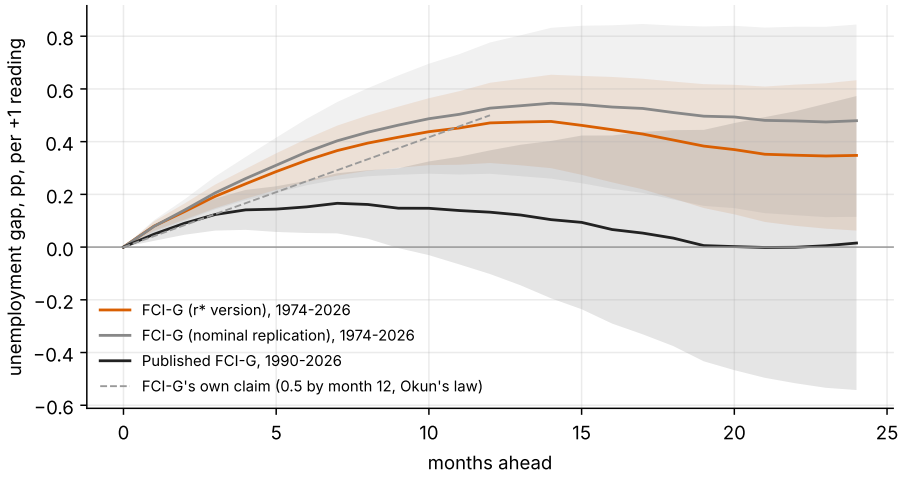


Figure 6: FCI-G: unemployment response by horizon to a reading of +1 held for four months (local projections, 90% bands)

8 Caveats and conclusion

Caveats. There is no ground truth for financial conditions; we compare indexes with each other and with what they say about unemployment. The r^* baseline depends on an estimate with wide uncertainty; the Kiley estimate gives similar results (correlation 0.96 for the market index) but differs most after 2008, where r^* matters most. Expected inflation before 1982 comes from a semiannual survey. Our GS and FCI-G series are replications. The market weights assume that announcement-window responses reflect policy rather than information effects; the FRB/US comparison index assumes VAR expectations in FRB/US (with model-consistent expectations its weights are two to three times larger). The VAR is linear and describes the mean of unemployment. Kiley (2020a) finds that tight financial conditions are associated with sharp deteriorations in activity and accommodative conditions with only modest improvements, and Adrian et al. (2019) find that tighter conditions mainly lower the left tail of GDP growth; we do not model either asymmetry. The weights are estimated from responses to policy news in a period without explicit targeting of

financial conditions; if policy came to target them, those responses could change, a version of the Lucas-critique concern that Hatzius et al. (2010) raise for all indexes.

Conclusion. A simple index, with weights from how markets respond to policy news and dynamics from a small VAR with unemployment, tracks the main published indexes once all are measured on the same basis, and is closest to the index practitioners follow. Its level and flow parallel FCI-G without relying on a large structural model. Measuring rates relative to r^* matters over long spans. Yet the approaches still differ, mainly in how much weight they give to equity valuations and the dollar, by enough to matter for policy. No single measure is likely best; a transparent benchmark helps make the differences visible.

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A Data, checks and current pressure

Data. All series are monthly averages, January 1973 to September 2026, from public sources listed in the replication package's README: FRED (federal funds rate, 10-year yield, Moody's Baa yield, mortgage rate, real and nominal broad dollar, CPI and CPI rent, Case–Shiller home prices, S&P 500, unemployment and CBO's natural rate, Cleveland Fed expected inflation, NFCI and ANFCI), Robert Shiller's data (CAPE, S&P 500 and home prices before the FRED series start), the Philadelphia Fed's Livingston Survey, the New York Fed's Laubach–Williams estimates, the published FCI-G and its multipliers, and the USMPD. The BBB spread is Moody's Baa yield less the 10-year yield. The FRB/US house-price variable is the price-to-rent ratio relative to its trailing 15-year average.

Current pressure. The market index level is the eventual effect of current conditions; the part already passed through to activity, "current pressure," weights past levels by the VAR's response profile and lags the level by several months (Figure 7). It correlates 0.95 with the level and has no predictive content for unemployment (Table 6); it is shown for completeness.

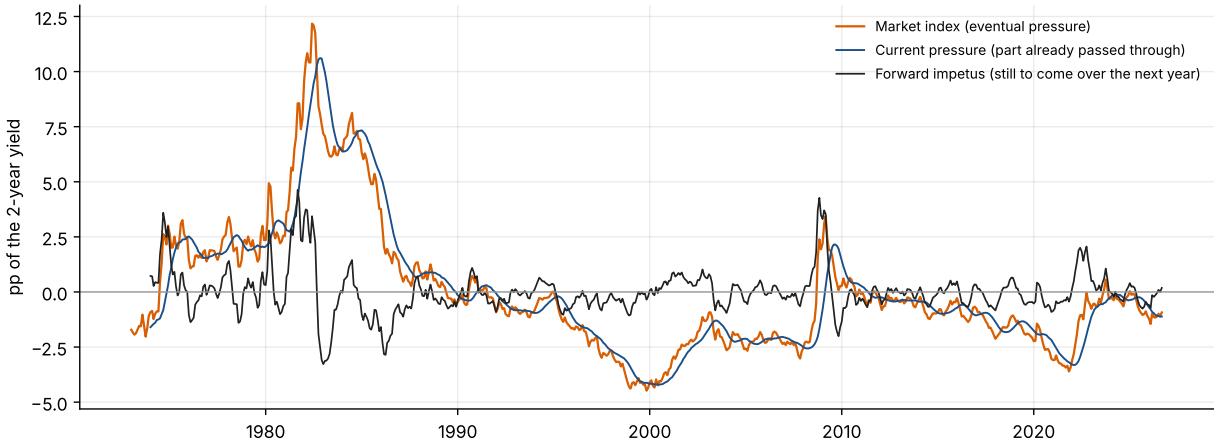


Figure 7: Market index: level, current pressure and forward impetus (r^* baseline)

Table 7: Checks: Kiley r^* and a 4-lag VAR (correlations with the baseline)

	Levels	12-month changes
Market index	0.96	0.96
GS	0.96	0.97
FRB/US index	0.96	0.97
FCI-G, 1-year	0.97	0.98
Market forward impetus	0.96	
Forward impetus, 4 vs 12 lags	0.96	

Table 8: Unemployment gap 12 months ahead, real versions (as Table 6)

	Coef. (s.e.)	Gain adj. R2	OOS ratio	1995-07	2008-19	2021-25	DM t
Market index forward impetus	0.50 (0.12)	0.09	0.94	0.90	0.92	1.23	-0.74
FCI-G, 1-year lookback	0.81 (0.14)	0.13	0.91	0.87	0.88	1.17	-0.83
FCI-G, 3-year lookback	0.71 (0.12)	0.13	0.93	0.85	0.94	1.07	-0.73
FRB/US growth impetus	0.32 (0.06)	0.10	0.98	0.99	0.96	1.13	-0.21
Market index (level)	0.05 (0.04)	0.01	1.06	0.91	1.12	0.89	0.87
Market index current pressure	0.02 (0.04)	0.00	1.06	0.97	1.09	0.99	1.37
GS (level)	0.07 (0.05)	0.02	1.05	0.89	1.11	0.85	0.69
FRB/US index (level)	0.06 (0.06)	0.01	1.05	0.89	1.11	0.92	0.84